Credit Linked Notes

Seminar Module

conducted by

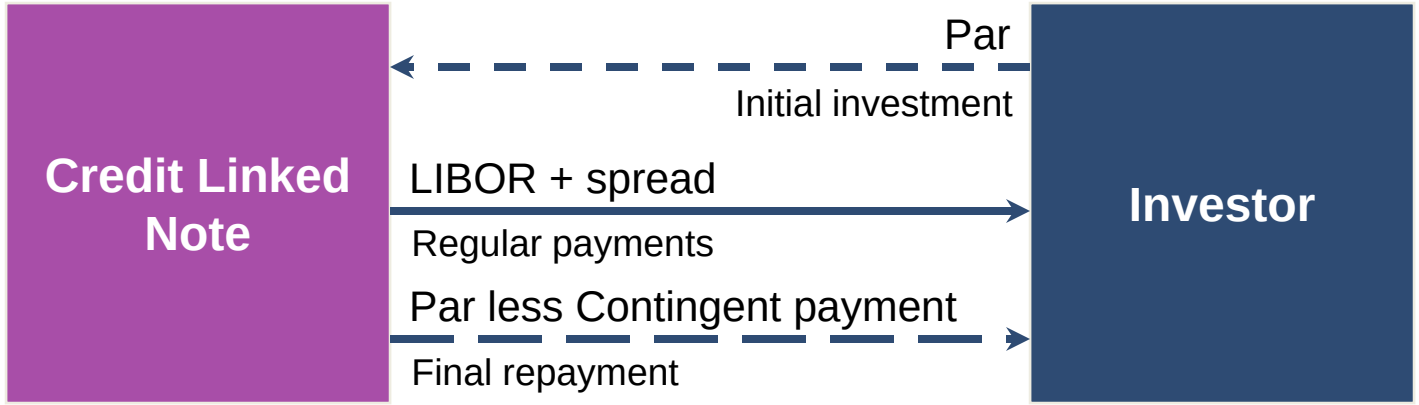
ACF Consultants Ltd

© 2001-23 ACF Consultants Ltd

Credit Linked Notes (CLNs)

Credit Linked Note is:

- A funded security
- With a return linked to the credit risk of another reference asset

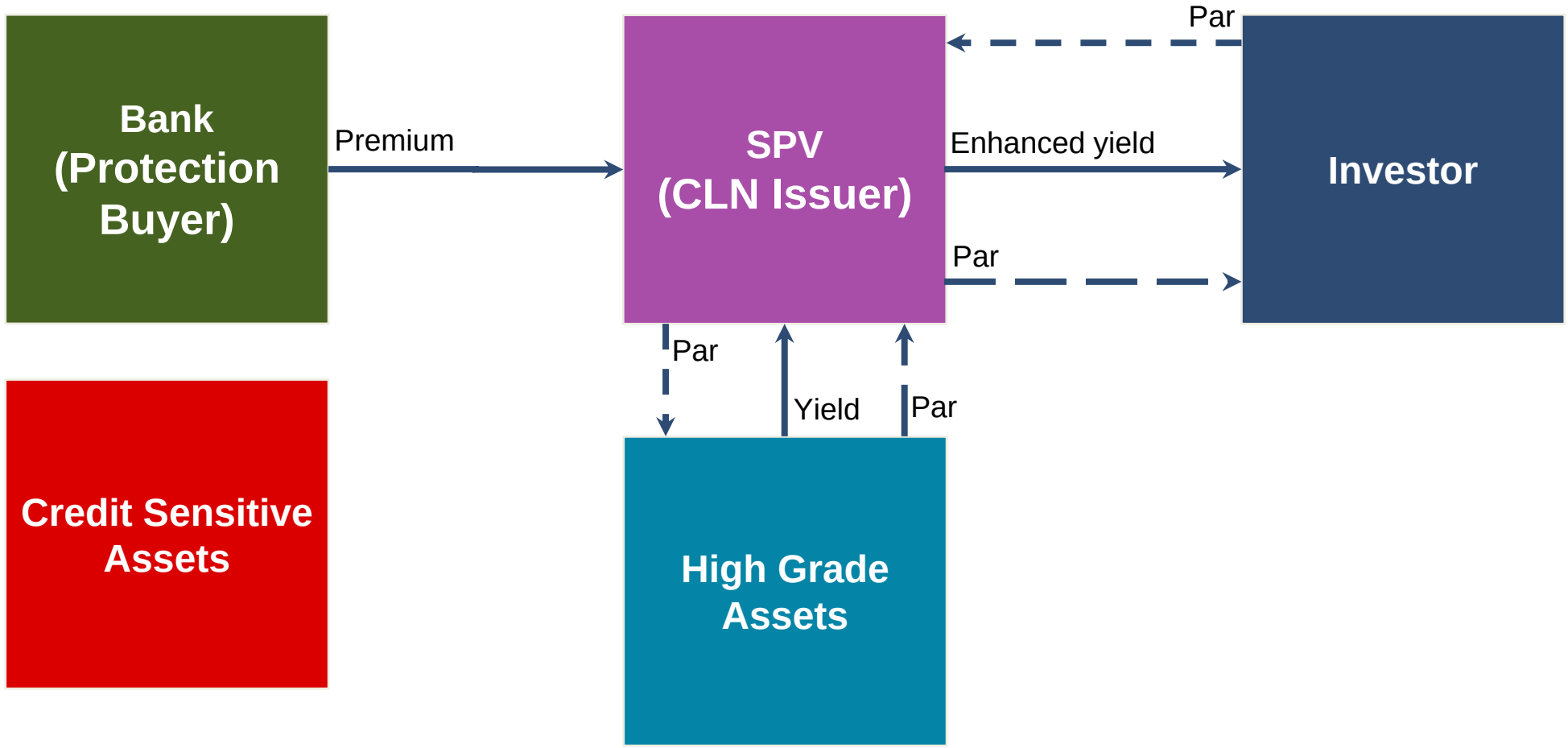


A Credit Linked Note is an example of a **structured product.**

© 2001-23 ACF Consultants Ltd

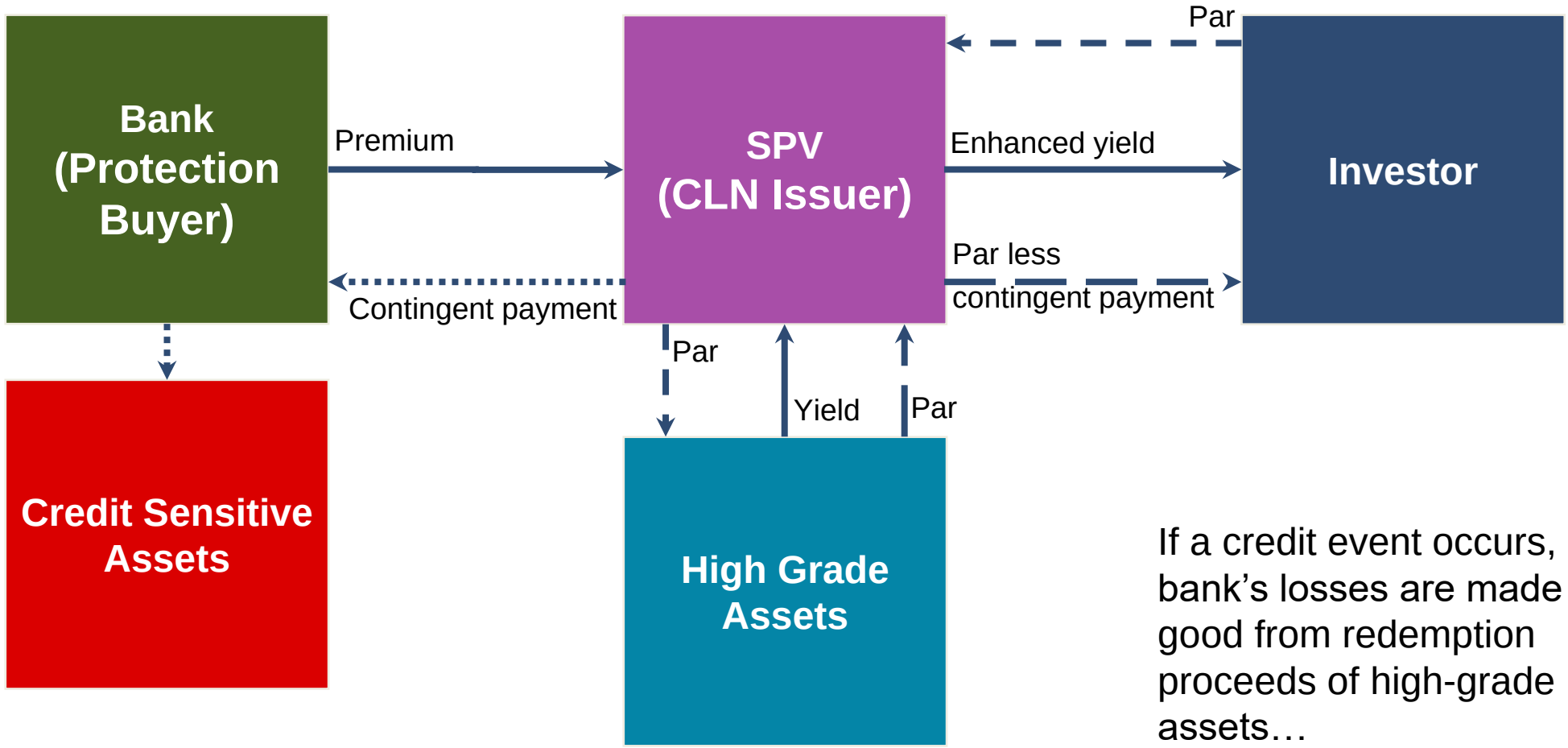
Structuring a Credit Linked Note

CLN can be structured to provide protection on a pool of credit-sensitive assets…



© 2001-23 ACF Consultants Ltd

Structuring a Credit Linked Note (Credit Event)



If a credit event occurs, bank's losses are made good from redemption proceeds of high-grade assets…

© 2001-23 ACF Consultants Ltd

Example of a Credit Linked Note

Total Return Loan Swap Index Note

Issuer:	AAA-rated SPV
Principal:	$50m
Coupon:	3mth LIBOR + 250bp
Day count:	Act/360
Underlying asset:	Loan to XYZ Corporation
Maturity:	Earlier of: a) 1yr b) XYZ default event

Capital Price Adjustment (CPA):

$$\text{Principal} \times (P_n - P_0)/P_0$$

(where P_0 is original price of underlying asset)

Principal redemption: Par plus CPA

Initial Loan Price: 100

Current Loan Price: Price as calculated by calculation agent, in accordance with calculation method, at 11am New York Time, two business days prior to each payment date.

Calculation method:

a) Sole opinion of calculation agent
b) Dealer poll
c) Screen or quote service

© 2001-23 ACF Consultants Ltd